



India Should Resist Import Substitution

To protect against import concentration from any one country, diversifying imports across multiple economies is crucial

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126 | **THE EPOCH OF** globalisation was defined by an overarching focus on efficiency, cost-minimisation and “just-in-time” manufacturing. Global supply chains dramatically proliferated around the world and “specialisation and exchange” became the organising principle of global production—a thought that would have mightily pleased Adam Smith and David Ricardo. Trade boomed, both across and within industries. A quintessential example of that is the modern iPhone, which comprises almost 500 parts sourced across 43 countries and 6 continents. This perhaps represents the high noon of comparative advantage.

But this epoch is now under pressure. Two sets of concerns are rising. First, what the litany of recent shocks has revealed (Covid, Russia-Ukraine conflict, West Asia conflict) is that countries must be wary of excessive import concentration risk. Countries that are too dependent on any one country/

region for critical inputs stand exposed during shocks. Asia’s excessive dependence on the Strait of Hormuz for energy is a case in point. Second, trade is being increasingly weaponised as a multilateral, rules-based order is quickly replaced with extractive bilateral mercantilism.

So how should India respond to this changing global backdrop? There are both dos and don’ts.

India must start by systematically identifying chokepoints and vulnerabilities. It is well known now that 90% of India’s liquefied petroleum gas (LPG) flowed through

the Strait of Hormuz and almost 50% of India’s liquefied natural gas (LNG) came from Qatar. But other chokepoints also exist. About 70% of India’s active pharmaceutical ingredients (APIs) are sourced from China, with some estimates that this ratio rises to almost 90% for antibiotics. Meanwhile, almost all of India’s polysilicon (used for solar panels) is imported from China and more than 90% of India’s lithium-ion batteries are imported from China.

All this suggests too much concentration risk, leaving India vulnerable to critical inputs during shocks and crises. We must pursue a multi-pronged approach to mitigate these risks by:

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Building physical buffers for existential commodities: India must build broader and deeper physical buffers for critical inputs. Both Korea and Japan had more than 100 days of strategic crude reserves, quite apart from what the commercial sector possessed, in the run-up to the US-Iran conflict. On its part, China has strategically built stockpiles of crude and natural gas, industrial metals, critical minerals and rare earths over the last decade, to protect against a rainy day. While that scale and scope may not be feasible for India, the principle is worth pursuing in high-vulnerability areas.